TEACHER GUIDE DRAFT

Leaving Certificate Business (current syllabus)

Final accounts

Unit 4: Managing 2
4.4 Basic final accounts



A revision lesson. Pupils run a car dealership in firms of four and revise final accounts on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

1 Variable unit cost

Round 1

Split the costs.

Variable cost per car?

Total costs, a month	**€52,350**
Fixed costs, a month	**€4,750**
Cars sold	**4 cars**

ANSWER

€11,900

(€52,350 − €4,750) ÷ 4 = €11,900

Why: Take the fixed costs off first. Then share the rest between the cars.

2 Why profit fell

Round 1

Revenue rose 10% this year, but profit fell.

Which two could explain this?

- **A** Variable costs rose faster
- **B** Overheads fell
- **C** Fixed costs jumped this year
- **D** Prices were raised
- **E** More cars sold at the same margin

ANSWER

✓ Variable costs rose faster
✓ Fixed costs jumped this year

Why: Profit falls when costs grow faster than revenue.

3 Statement in order

Round 2

You read your trading, profit and loss account from the top.

Put these in order, top first?

- **A** Net profit
- **B** Expenses
- **C** Gross profit
- **D** Sales

ANSWER

1. Sales
2. Gross profit
3. Expenses
4. Net profit

Why: Sales less cost of sales is gross profit; less expenses is net profit.

Topic tasks

4 Profit after tax

Round 2

Year-end figures.

Profit after tax for the year?

Gross profit	**€73,000**
Overheads	**€40,500**
Interest paid	**€1,000**
Tax on the profit	**25%**

ANSWER

€23,625

€73,000 − €40,500 − €1,000 = €31,500; − 25% = €23,625

Why: Tax is taken from the profit after interest: €7,875.

5 Costs or revenue

Round 3

Revenue is €200,000 and costs €180,000. Raise prices so revenue rises 5%, or cut costs 5%?

Which raises profit more, and why?

A Cut costs by 5%

B Raise revenue by 5%

ANSWER

✔ **Raise revenue by 5%**

Why: 5% of €200,000 is €10,000; 5% of €180,000 is €9,000.

6 Profit next year

Round 3

Next year's plan.

Profit next year? Minus allowed.

Revenue	**€105,000**
Revenue rises by	**20%**
Costs	**€66,000**
Costs rise by	**25%**

ANSWER

€43,500

€126,000 − €82,500 = €43,500

Why: Revenue and costs both change. Work out each new figure first.

Final questions

Each pupil answers 6 final questions. Pick the question topic “Cash, profit and VAT”: the 6 come from these 10 questions.

Then each pupil writes one short answer: “Evaluate cutting costs or raising price to grow profit.”

1. You bought a used hatchback for €8,400 and sold it to a customer for €10,400. VAT is 23/123 of the margin. How much VAT does this sale leave to pay?
   ✔ **€374**

2. This round your firm sold three vehicles. The margins were €1,500, €3,300 and a loss of €600. How much VAT does the round's return ask for?
   ✔ **€897**

3. Your firm has sold cars this round but has not filed the VAT return yet. Where does the VAT you owe show?
   ✔ **As a debt in the net position until the return is filed and paid**

4. A customer pays your firm €12,000 for a car that cost you €9,800. Who pays the VAT on this sale to Revenue?
   ✔ **Your firm, out of the price it received, when it files the return**

5. You sold a van for €15,000 that cost €11,700. What is left of the margin after the VAT on this sale?
   ✔ **€2,683**

6. Your firm owes €1,122 of VAT this round and files the return late. The late charge is €125. What does the late return cost in total?
   ✔ **€1,247**

7. Cash €150,000, stock at cost €40,000, a loan of €25,000 and unpaid VAT of €1,200. What is the net position?
   ✔ **€163,800**

8. Your cash went up by €10,400 when a customer paid for a car that cost €8,400. How much of that cash is not really yours to spend?
   ✔ **The VAT on the margin, €374, which is owed to Revenue**

9. You sell two scooters to customers: one bought for €2,100 and sold for €2,600, one bought for €2,400 and sold for €2,700. How much VAT do the two sales leave?
   ✔ **€149**

10. The VAT return opens in the final 90 seconds of the round. Your firm has €2,600 of VAT to pay and €1,900 in cash. What happens if you file now?
    ✔ **The return cannot be paid in full; the firm needs €700 more cash before it files**